Reforming the Financial Sector is Critical for a $10 Trillion Economy

In 2035, India will need a private-sector economy with the government focusing only on delivering public goods and services, including macroeconomic management, regulation of markets and redistribution. Such an economy would need to have a dominant private financial sector as well.

The state-owned financial sector misallocates and directs credit, finance and asset management away from the productive sectors of the economy and has become the handmaiden of the government to serve social objectives, effectively turning credit and finance into grants. Social objectives are better served by the government channelizing support to economically weaker sections of people as grants and cheaper loans. The state-owned financial sector, staffed by officers with a government mindset and skills, is also not the right assessor of risk involved in commercial lending and thus usually ends up providing credit to the wrong entrepreneurs. Banking and financing is best done by private sector enterprise putting its own capital at risk. Depositors' interests are best taken care of by the right regulation.

The transformation of the public-sector financial system into a private-sector one will be the biggest driver of the financial reforms agenda and essential to achieve the $10 trillion target.

The financial sector reforms would need to take place across the entire spectrum of finance beginning with currency and money markets, extending to credit and capital markets and to insurance, asset and wealth management.